

Fearnleys Dry Bulk Weekly

Apr 22, 2026



Capesize/Newcastlemax

Fundamental data still looks strong, suggesting that in the event of a near-term swing down, the drop will not be significant.

Top left chart: Blast furnace output kept rising last week. The year-on-year change is 0%, so no change in China's underlying demand over the last year. Iron ore inventories have increased by about 40 million tons since July last year, and are now at levels comparable to the peak in 2021.

Interestingly, inventories of Brazilian ore have dropped to the lowest level seen in more than two years, and the spread of Carajas fines over Pilbara blend fines is high.

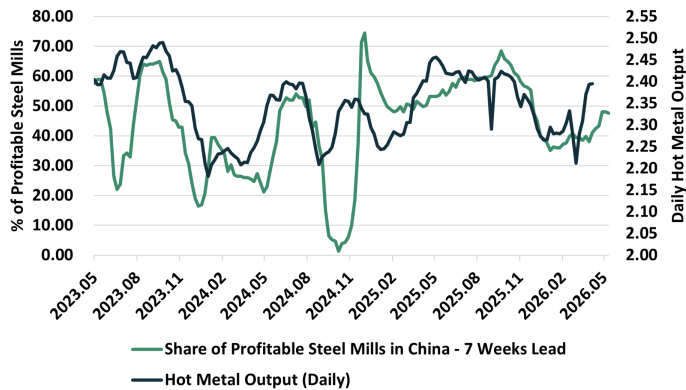
That, viewed in combination with still record-setting Bauxite flows, means the market should be well supported in the coming months.

Top right chart: Shipment volumes were 7.1% higher than last year through week 16. Still strongly positive, but down from the peak earlier this year. Supply growth is at 1.5%.

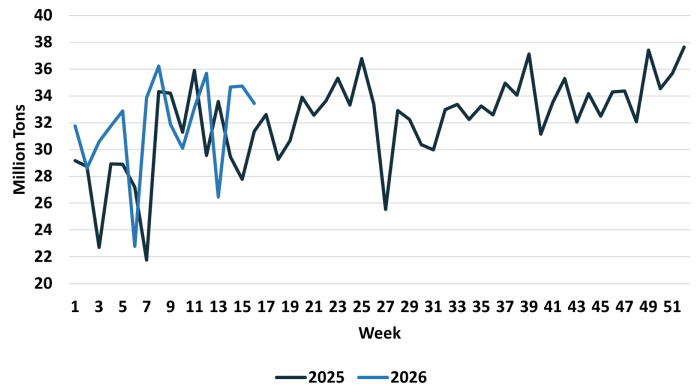
Bottom left chart: The South Atlantic tightness indicator suggests the South Atlantic market tightened slightly last week. However, the reading still suggests the market is in toppish territory.

Bottom right chart: The laden/ballast ratio is at 1.22, suggesting the market is in toppish territory.

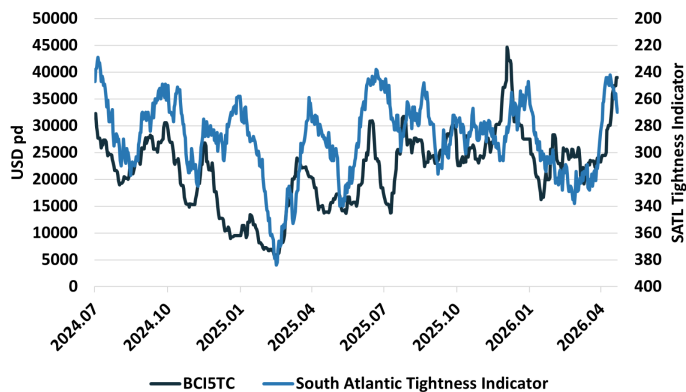
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



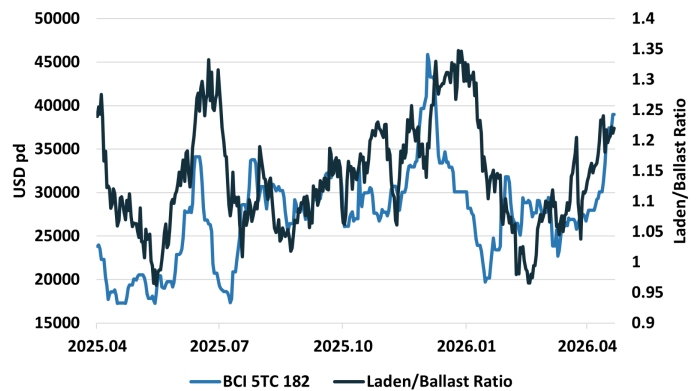
Weekly Shipment Volumes



C5TC 180 vs South Atlantic Tightness Indicator



Laden/Ballast Ratio



Panamax/Kamsarmax

The below indicators suggest the potential for a near-term correction is there (perhaps along with Capes/Newcs). At the same time, the indicators have shown notable improvement, meaning an eventual correction is likely to be short-lived.

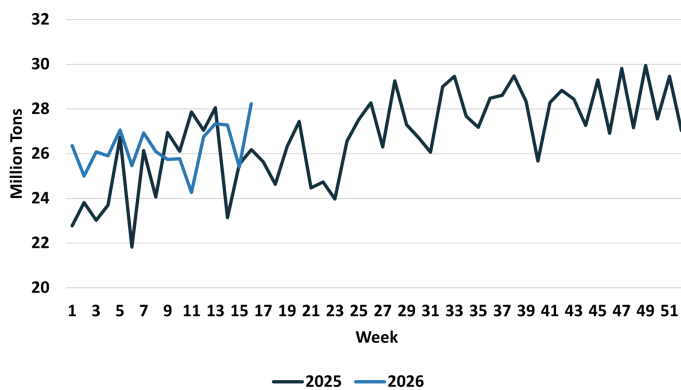
Top left chart: Shipment volumes were up 4.2% year on year through week 16. The growth rate continues to decline, and now remains just slightly above the supply growth rate of 4%.

Top right chart: Finally seeing the anticipated surge in coal demand? Significant increase in backwardation. An eventual market dip could be followed by year-to-date highs for P5.

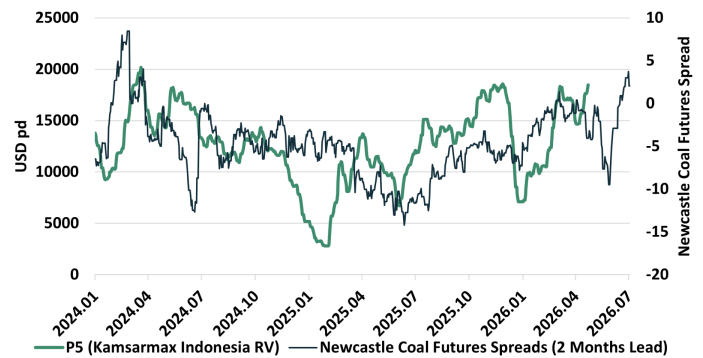
Bottom left chart: The Pacific tightness indicator turned more bullish over the last week. This implies any eventual correction will be short-lived.

Bottom right chart: The SATL tightness indicator turned more bullish over the last week, which, like the Pacific indicator, suggests any correction will be short-lived.

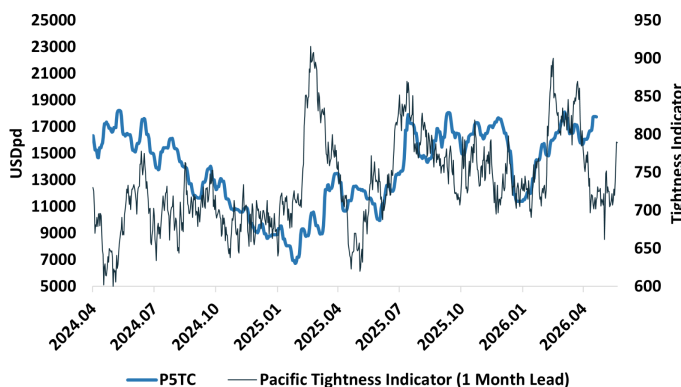
Weekly Shipment Volumes



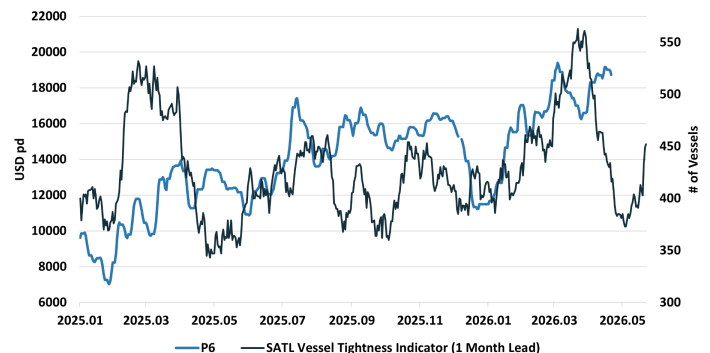
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)





Supramax/Ultramax

The gap between shipment volume growth and fleet growth has kept narrowing. Still, the below indicators suggest fundamentals will continue to support earnings in the high teens.

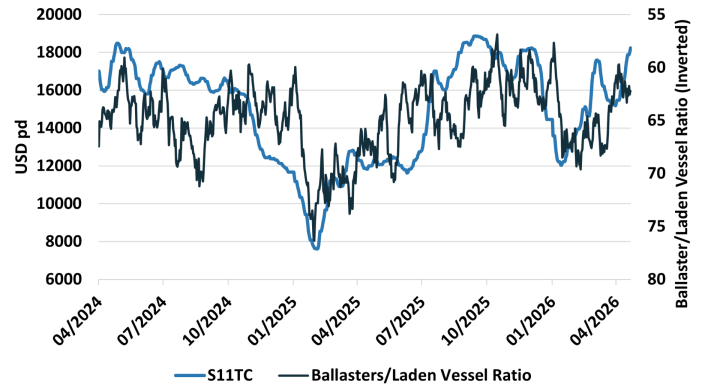
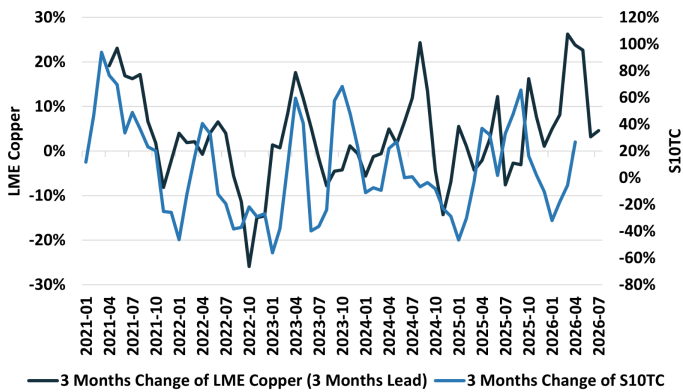
Top left chart: The three-month change in the price of copper has fallen noticeably. Usually, there is a lag of a few months before the same development is seen in the Supramax/Ultramax market. The correlation is still not suggesting the market will fall significantly, but rather that the upside is limited going forward.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

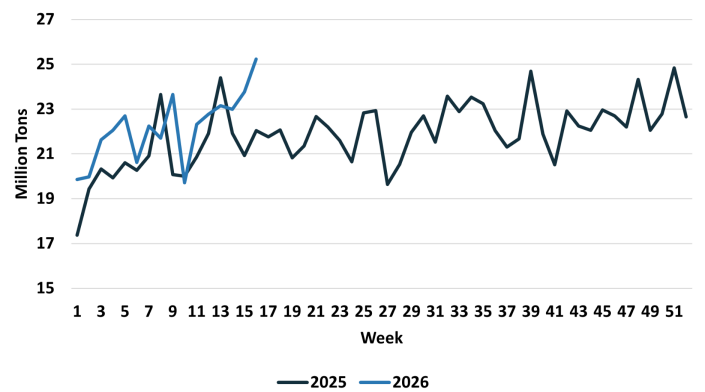
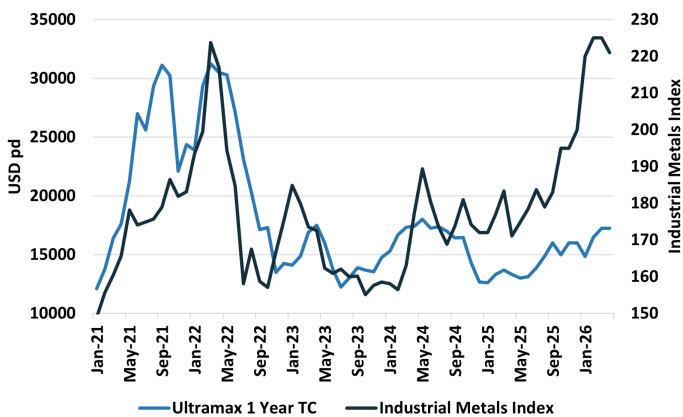
Bottom left chart: Industrial metals prices have rebounded sharply in the last month, suggesting 1-year TC rates will be stable around current levels in the coming months.

Bottom right chart: Shipment volumes were up 5.9% year on year through week 16. Supply growth is at 5.2%.

Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



Industrial Metals Index vs Ultramax 1 Year TC Weekly Shipment Volumes





Handysize

Most likely, the market will continue trending upwards, following the push in the Ultramax market. The HS7TC index could climb to around 16kpd basis the laden/ballast ratio and the usual ratio to the Ultramax index.

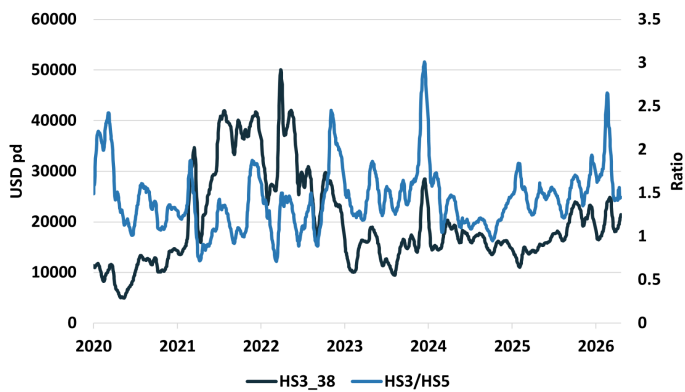
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggests a market top, and a lower ratio suggests a market bottom.

Top right chart: Through week 16, Handysize shipment volumes were 4.4% higher than the same period in 2025.

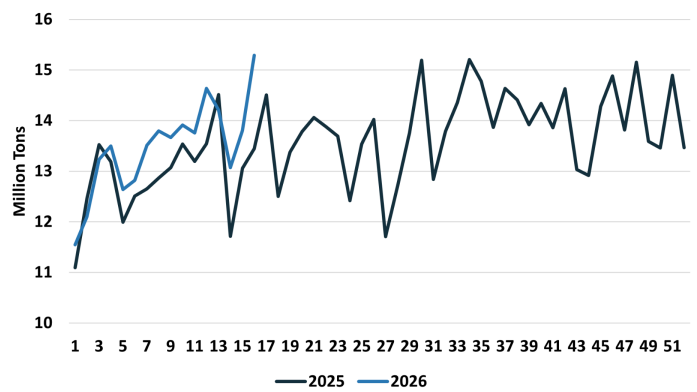
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often lead the movements of the HS7TC.

Bottom right chart: The laden/ballast ratio is an accurate measure of underlying fundamentals, shown by the high correlation it has with to HS7TC index.

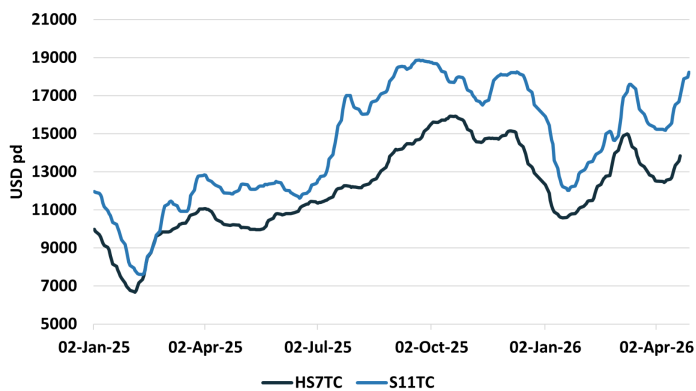
HS3 vs Ratio of HS3 and HS5



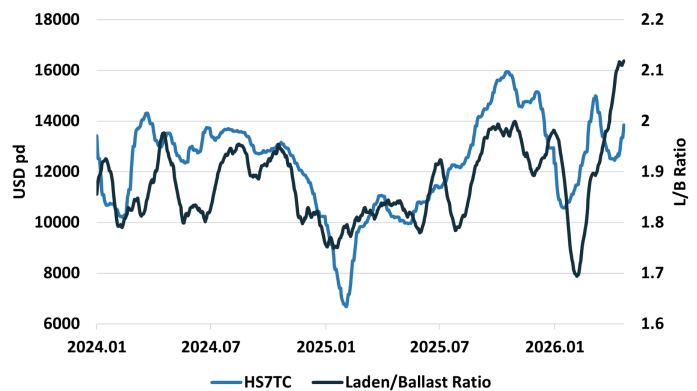
Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Handysize 7TC vs Laden/Ballast Ratio





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Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company